

NANYANG TECHNOLOGICAL UNIVERSITY

SEMESTER 2 EXAMINATION 2017-2018

BU8501 – Marketing for the 21st Century

April/May 2018

Time Allowed: 2 hours

INSTRUCTIONS

- 1 This paper contains **THREE (3)** questions and comprises **TWO (2)** pages and **ONE (1)** appendix of **THREE (3)** pages.
 - 2 Answer **ALL THREE (3)** questions.
 - 3 This is an **Open-book** examination.
 - 4 The number of marks allocated is shown at the end of each question.
 - 5 Begin your answer to each question on a separate page of the answer book.
 - 6 Answers will be graded for content and appropriate presentation.
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All three questions in this paper are based on the case, “Asian cruise industry shows enormous potential” given in Appendix 1.

Question 1

The Asian cruise industry is growing “at a compounded annual growth rate of 25 percent with passenger capacity tripling from 1.51 million in 2013 to 4.24 million in 2017”.

- (a) Analyse the Asian consumer market for cruises using the Porter’s Five Forces model. Your analysis ought to address all **five (5)** forces highlighted in the model.

(20 marks)

- (b) Recommend which basic competitive strategy, as suggested by Porter, would be most appropriate for a **themed cruise ship** in order to win customers in the competitive market place. Please provide justifications for your recommendation.

(20 marks)

(TOTAL: 40 marks)

Question 2

Oceanic Group is expected to launch its cruise ship, *Cartoon Network Wave*, inspired by characters from Cartoon Network shows in the fourth quarter of 2018. Explain how the major segmentation variables, including the concepts of multivariable and intermarket segmentation, could have been used by Oceanic Group to segment its market of cruise passengers.

(30 marks)

Question 3

Assume you are the marketing manager of cruise ship operating in the Asian market. You are free to choose any company including those mentioned in the case.

Required

Briefly describe the theme or positioning of your cruise ship and then recommend an integrated marketing programme (including the four P's) that will help your company deliver superior value to your customers. Please state any reasonable assumptions you have made.

(30 marks)

- END OF PAPER -

Appendix 1**CASE STUDY – ASIAN CRUISE INDUSTRY SHOWS ENORMOUS POTENTIAL**

Singapore Tourism Board (STB) reported 17.4 million visitors to the island in 2017. Some 1.4 million came from the cruise industry, which continues to break records on the back of double-digit growth, leaving the STB “pleasantly surprised”, as its chief executive, Lionel Yeo, puts it. In terms of infrastructure, Singapore has two cruise centres, is prepared for the largest vessels ahead of time and the ongoing capacity addition to Changi Airport is expected to further feed the cruise business.

Asian cruising tends to be a multi-generational affair, with whole families coming on board and with children often having the final say in choice of travel and destination - “pester power”, as it is known in marketing circles. For millennials, experience - instantly uploaded to social media sites such as Instagram - is key.

Cruise Lines International Association, an industry body, says the number of ships deployed to Asian waters has risen 53 per cent since 2013, and cruises and voyages are rising at a compounded annual growth rate of 25 per cent. Passenger capacity almost tripled, from 1.51 million in 2013 to 4.24 million passengers in 2017. The industry hopes to see 4.5 million passengers cruising in South-east Asia by 2035, 10 times more than in 2016. While Japan, China and Thailand are the fastest-growing markets, Hong Kong, Taiwan and the Philippines are seeing brisk business as well. So, too, the Indian market. Last year, there were 35 active cruise brands in Asia, enjoying a year-round supply of customers.

Industry players said that while they welcome the growth of cruise tourism in the region, large hurdles remain. Royal Caribbean Cruises and Genting Cruise Lines plan to either expand their fleet or ship itineraries in the region.

Royal Caribbean Cruises’ managing director, Sean Treacy, noted that Royal Caribbean International welcomed its millionth guest sailing from Singapore this week, which “underscores the strong growth of the cruise market here in recent years, at an average of 20 per cent annually”. However, he added: “The industry trend is increasingly towards larger ships being deployed here to meet the growing demand for cruising. Port infrastructure in many parts of the region needs to be upgraded urgently to accommodate these larger ships, which carry 3,000 to 4,000 guests and are at least 140,000 gross registered tonnes. This includes building proper cruise terminals for a more welcoming tourist experience.” Specifically, Mr Treacy hopes for such infrastructure to be developed in Indonesia, Malaysia, Thailand and the Philippines.

Note: Case continues on page 4

Case (continued)

Michael Goh, senior vice-president of international sales at Genting Cruise Lines, said: “One of the greatest challenges is the lack of awareness and understanding of the concept of a cruise vacation among consumers. The Asian cruise industry is still very much at its infant stage with enormous potential.”

June is when Singaporeans and Malaysians tend to cruise, says Daniel Chui, managing director of Oceanic Group, a cruise management company. From July to October, the market tilts towards North Asians. After that, it is a mixed market for a while, until the South Koreans come on board in large numbers in January. The Chinese dominate in February, while Thai tourists turn out in large numbers in March and April. July and the year-end months are also strong for the India market, with many free-spending honeymooners on their first overseas trip.

The threshold for cruise duration is rising too. From one day when ships were small to three days as they grew larger. Asians, with plenty to do on board, can now appreciate a five-day cruise. They are even willing to consider a week-long passage.

In the past, cruise ships tended to be in the 5,000 gross registered tonnage (GRT) range and carried about 500 people. These days, some ships carry 8,000 people and displace 250,000 GRT. Royal Caribbean alone has four of those vessels. Ship designs are now moving to 400,000 GRT and 10,000 passengers, with four captains and four hotel managers on board, aside from 4,000 crew members. “As the ships become bigger, each ship becomes like a city. Similar to a shopping mall like VivoCity with a million square feet, where there is so much to do from morning to night. Size does matter in this industry” says Mr Chui.

Themed cruises emphasise how the booming industry is evolving. Oceanic Group’s fifth cruise ship *Cartoon Network Wave*, expected to launch in the fourth quarter of 2018 in partnership with US media company Turner, will have a gross tonnage of more than 50,000 GRT with 11 decks and a family entertainment centre on the seventh deck. The ship will feature characters from Cartoon Network shows like Powerpuff Girls, Adventure Time and Ben 10. It will also offer technologies such as virtual reality, augmented reality and mixed reality. Oceanic Group aims to target families and leisure passengers with a differentiated product.

President of Turner Asia Pacific, Ricky Ow said: “Turner is always looking at new ways to bring our characters to life and *Cartoon Network Wave* will be their home on the high seas. This ship has remarkable potential to offer our fans a truly unique and immersive experience.”

Note: Case continues on page 5

Case (continued)

Mr Chui says he pursued Cartoon Network because surveys show its products have some of the highest familiarity ratings in Asia. Only a quarter-century old, Cartoon Network continues to refresh and rejuvenate its offerings, owning intellectual property on characters and associated merchandise. “We were looking for depth, width, consistency and an ability to compete and sustain amid the competition,” he says, adding that he is constantly reminded of the words of former STB chief Tan Chin Nam that “fun is a serious business”.

- END OF CASE -

Source: Adapted from “Cruise industry added \$706m to Singapore’s economy in 2016” by Jose Heng, The Straits Times, January 27, 2018, page B8, “Group plans cruise with Cartoon Network theme”, The Straits Times, January 26, 2018, page C2 and “In Good Company: Fun is serious business for Oceanic Group’s Daniel Chui” by Ravi Velloor, The Sunday Times, February 18, 2018, page B7.

Overall comments

The unmoderated exam median grade for this course is “B+”.

Students were generally well prepared for the exam. The answer scripts showed most students understood important marketing concepts. However, a few answers appear to indicate a lack of understanding of some concepts. There was a wide variation in the ability to apply these concepts to the situations required in the exam paper. A number of answers included lengthy description of the concepts which is not necessary for an open-book exam. These may have been undertaken at the expense of generating comprehensive answers. Answers that included relevant examples taken from the case or elsewhere were awarded marks for clarifying their understanding of the concepts. Answers that included justification or reasonable assumptions, as needed, were awarded higher marks. Marks were also awarded for appropriate presentation. Some answers for the 3rd question (as per students' chosen sequence) appear to be rather brief, this might be the result of poor time management.

Question 1(a)

This question required an analysis of the Asian consumer market for cruises using Porter's Five Forces Model. Students were reminded to address all five forces.

Students were required to analyse the Asian consumer market for cruises by applying each force in the Model and provide the results of their analysis. The answers ought to include evidence of applying each force and a concluding comment about the relative strength of each of the 5 forces. Answers addressed the five forces as required. However, these varied widely from basic recommendations and general analysis to clear assessment of each force. A small number could clearly link their analysis to the target market and hence were awarded higher marks. Answers that highlighted the wide variety of suppliers needed to operate a cruise were credited for this insight. In analyzing “threat of substitutes”, many answers dismissed other forms of leisure although good reasons were put forward for this approach.

A few students appear unable to distinguish between “suppliers” and “competitors” within the Model. There also appears to be confusion between “substitutes” and “competitors” among a small number of students. Some answers designated travel by air as a “substitute” for a cruise holiday. This choice probably indicated poorer understanding of the context since current air travel is predominantly a mode of transport while a cruise holiday is an occasion to experience various features on board the ship over some time without necessarily arriving at a different port.

Question 1(b)

This question required students to recommend a basic competitive strategy, suggested by Porter, for a themed cruise ship in order to win customers in the competitive market place. Justifications for the recommendations are required.

Answers from students fall into two broad categories. The first category suggested one basic competitive strategy and discussed this at length with justifications, drawing support from the case and students' understanding of marketing concepts. The other category discussed all three basic competitive strategies and was concluded by a definite recommendation on the most appropriate choice for the themed cruise ship. Both approaches are acceptable. The answers to this question were generally good with adequate justifications for the choice made.

Broad explanations of the competitive strategies without a clear recommendation was not considered adequate. This question is not about competitive positions of themed cruise ships.

Question 2

This question required students to explain how the major segmentation variables, including the concepts of multivariable and intermarket segmentation, could have been used by Oceanic Group to segment its market of cruise passengers.

Students are required to clearly discuss all four major segmentation variables using appropriate examples or ideas related to those mentioned in the case. The question also required answers to explain how the concepts of multivariable and intermarket segmentation could have been used. Many students appear to be reasonably comfortable with these concepts and were able to answer this question well.

A small minority of answers did not discuss all four variables. Some answers had explanations about the purpose which would not attract marks. There were some answers that made superficial remarks about the concepts of multivariable and intermarket segmentation, and marks could not be awarded if these concepts were not discussed. This question was not about macro-environment factors.

Question 3

This question required students to assume being the marketing manager of any cruise ship operating in the Asian market. They are expected to briefly describe the theme or positioning of their cruise ship and then recommend an integrated marketing programme that will help their company deliver superior value to their customers. Students were invited to state any reasonable assumptions they made.

Answers were expected to begin with a chosen theme or positioning for the cruise ship. All varieties of themes were acceptable. Good answers provided recommendations for each “P” of the integrated marketing programme. Credit was given to answers that clearly demonstrated how the four “P’s” were integrated to deliver superior value to customers.

However, some answers dived straight into the integrated marketing programme without a clear theme or positioning. This resulted in answers that seemed unfocussed. For the discussion of the four “P’s”, the weakest component was ‘place’ which some interpreted as the cruise ship itself or the ports of call along the voyage. Although recommendations for each of the four “P’s” were required for this question, some answers departed from this requirement. This question required recommendations beyond “promotion” or the integrated communication aspect of marketing.